

market share of around 21 per cent of all projects registered globally under the CDM. India has channelised more than \$10 billion in foreign direct investment [per a report by the Trade Promotion Council of India] under CDM till the end of the second commitment period [2020]”, explains Manish Dabkara, Chairman and MD of EKI Energy Services that is engaged in climate change, carbon credit and sustainability solutions. He adds that India has emerged as a prominent contributor to the voluntary carbon markets, exporting a substantial number of carbon credits between 2010 and 2022. “The country issued a remarkable 278 million credits during this period, representing approximately 17 per cent of the total global supply.”

But to meet India’s NDC commitment of reducing its emissions intensity (the emission rate of a pollutant relative to the intensity of a specific activity or industrial production) of its GDP by 45 per cent by 2030, the country is aggressively working on establishing an independent carbon market registry outside of the UNFCCC CDM. India is setting up its own carbon trading market and plans to have an Emissions Trading System by 2025. “We are nowhere near the amount required to enable this low-carbon economy transition. We were at roughly 25-27 per cent of the total requirements, as per CPI [Climate Policy Initiative, an advisory body], that too without factoring in new NDCs and a ‘just’ transition. The carbon markets can be used for financing this transition,” says Dabkara.

India’s carbon market will be built on the successfully operating Perform, Achieve and Trade (PAT) scheme, which is in its sixth cycle. “The designated consumers are obliged to reduce their specific

energy consumption as per the targets assigned by Bureau of Energy Efficiency. In addition to this, the Renewable Energy Certificate (REC) market is also operating in parallel,” says Inderjeet Singh, Partner at Deloitte India, adding that the domestic carbon market is expected to dovetail with the existing instruments of PAT and RECs.

In addition, the Indian government has also finalised a total of 13 GHG mitigation activities, alternative materials and removal activities such as the storage of renewable energy, green hydrogen, compressed biogas, etc., that can qualify for the international trade of carbon credits under Article 6.2 of the Paris Agreement—specifically making room for bilateral

implement carbon reduction initiatives that can generate carbon credits, says Gandhi. In addition, the process of obtaining carbon credits is complex and time-consuming as it involves rigorous verification and validation processes to ensure that carbon reduction initiatives meet the standards set by international obligations. Adding to these challenges is the need for a clear understanding of procedures laid down in the notification for registration of projects in India under Article 6, and access to finance for opportunities that have been kept out of the purview of ITMOs.

But with the recent push from the power ministry, which unveiled a draft of the Carbon Credit Trading Scheme (CCTS), the Indian

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arrangements between governments through internationally transferred mitigation outcomes (ITMOs). These activities will also facilitate the development and transfer of emerging technologies and mobilise international finance to India. As a result, India will have two kinds of instruments—one for domestic consumption, that is the NDC compliance requirements; and ITMOs for international trade.

THERE IS A lack of awareness and understanding of carbon credits among businesses and organisations, making it difficult for them to identify and

Carbon Market is starting to take shape. The Energy Conservation (Amendment) Bill, 2022—that grants the central government the authority to design such a plan—was used to introduce the CCTS. As India works aggressively towards establishing an independent carbon market registry outside the scope of UNFCCC, it can gradually improve the efficiency across sectors and players, while reducing the cost of achieving the country’s NDCs, and in the long run help achieve its net-zero goals. This is also expected to drive innovation and technology advancements in the economy. **BT**

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